ProcuraLogic

Before You Sign Any Contract

The 30-minute system that prevents expensive mistakes.

Most people don’t lose money on contracts because they didn’t read them. They lose money because they didn’t know what to look for.

- Hidden auto-renewals
- One-sided liability
- Pricing traps that compound over time

And by the time you realize it… you’re already locked in, with no leverage to fix it. And at that point, your only options are to accept it, or pay to get out of it.

In 30 minutes, this system will help you:

- Identify hidden risks
- Know exactly what to negotiate
- Avoid getting locked into bad agreements

How to use this kit

This system is designed to be completed in 30 minutes:

- 10 minutes to get context (Part 1)
- 10 minutes to define what matters (Part 2)
- 10 minutes to break down the contract (Part 3)

When you’re done, you’ll have a clean record of every concern and a shortlist of items to negotiate, clarify, or escalate.

Part 1. Pre-Review Checklist

■ **Most people skip this step.** And that’s exactly why they miss critical risks. If you don’t understand the full context of a contract, you won’t recognize bad terms when you see them.

Before you read a single clause, confirm you have the full picture. Because once you’re inside the contract, it’s harder to see what’s missing. And most contracts aren’t written to highlight what’s missing. Tick each item as complete.

Document completeness

■ I have the full, final contract, not a draft or summary

■ All exhibits, schedules, SOWs, and order forms are attached

■ All referenced external documents (e.g., MSA, DPA, AUP) are accessible

■ Amendments or prior versions are identified and dated

■ Signature blocks and effective date are visible

Business context

■ I know the total contract value and payment cadence

■ I know the start date, term length, and renewal mechanics

■ I know who owns this relationship internally (vendor manager)

■ I know the business outcome this contract is supposed to deliver

■ I know what happens if we don't sign (status quo / alternatives)

■■ **MOST MISSED:** “I know what happens if we don’t sign.” This is where leverage comes from.

Risk context

■ I know what data or systems the vendor will touch

■ I know whether this vendor is mission-critical or easily replaceable

■ I have the vendor's security documentation (SOC 2 / ISO / DPA)

■ I know who must approve this contract internally (finance, legal, security)

■ I have identified at least one alternative vendor for leverage

■■ **HIGH RISK:** “I know what data or systems the vendor will touch.” This determines your exposure.

Process context

■ I have set a target signature date

■ I know the vendor's negotiation authority (rep vs. manager vs. legal)

- ■ I have the prior contract if this is a renewal
- ■ I have a list of current pain points with this vendor

Part 2. Question Framework

■■ **This is where most people go wrong.** They read contracts without knowing what questions to answer. This section gives you a lens, so you don't just read. You evaluate.

Answer these before you read the contract so you know what you're looking for. If you can't answer one, that's the first thing to ask the vendor.

Scope & deliverables

- What exactly are we buying: product, service, outcome, or access?
- What does 'done' look like? What's the acceptance criteria?
- What is explicitly NOT included?
- What happens if the deliverable is late or defective?

Money

- What is the total committed spend over the full term?
- What can change my price during the term (price increases, overages, add-ons)?
- What happens to unused capacity or prepaid amounts?
- When can we stop paying? Under what conditions?

■■ **NEGOTIATION LEVER:** "What can change my price during the term?"
Most contract cost overruns don't come from the base price. They come from what can change during the term. That's where vendors make their margin, and where you lose control.

Term & exit

- When does this contract end if no one does anything?
- How do I terminate early and what does it cost?
- What notice do I need to give to prevent auto-renewal?
- What happens to my data after termination?

■ **LOCK-IN RISK:** "How do I terminate early and what does it cost?"
If you can't exit cleanly, you're not negotiating. You're committing.

Liability & risk

- If the vendor causes damage, what can I recover?
- What am I agreeing to indemnify the vendor against?
- What's excluded from their warranty or SLA remedies?
- Is there a cap on damages? Is it reasonable given the contract value?

Data, privacy, and security

- What personal or sensitive data will the vendor access?
- Where is data stored and who processes it?
- Does the vendor agree to our security standards?
- What happens in a breach? Notification timing? Remediation?

■■ **SILENT RISK: Contracts That Change After You Sign.** Some contracts allow vendors to change terms without renegotiation. If you miss this, you’re agreeing to a moving target.

Change management

- How can the vendor change the contract unilaterally?
- Can the vendor change pricing, terms, or policies by reference (URL)?
- What notice do we get for material changes?
- What's our remedy if we don't accept a change?

Part 3. Clause Assessment Worksheet

■■ **This is where clarity turns into leverage.** As you review, don't just read. Decide. This is where you move from understanding the contract to controlling the outcome. N (Negotiate): this impacts money or risk. C (Clarify): you don't fully understand it. E (Escalate): needs legal, finance, or security input.

Fill in one row per clause that matters. Use the Flag column to mark items you want to negotiate (N), clarify (C), or escalate (E).

Clause / Section	What it says (plain language)	My concern	Flag

Flag key: N = Negotiate | C = Clarify with vendor | E = Escalate internally

Clauses that commonly need attention

Auto-renewal. Check notice window length and method. 30 days is tight; 60–90 is common.

Limitation of liability. Typical caps = 12 months of fees. Lower caps are a red flag.

Indemnification (your obligations). You should not indemnify a vendor for their own product's infringement.

Fees & price increases. Annual uplifts above CPI without a cap compound quickly over a multi-year term.

Termination for convenience. If only the vendor has this right, you have no flexibility.

Data ownership & portability. Confirm you own your data and can export it in a usable format on exit.

Security & breach notification. Look for defined timelines (e.g., 72 hours) and specific vendor obligations.

Governing law & venue. Out-of-state venues create real cost if you ever need to enforce rights.

Changes by reference (URL terms). Terms that can change by updating a URL = unilateral amendment. Push back.

Assignment. Does the vendor need your consent to transfer the contract? They should.

■■ When to Get Help

If you flagged 2 or more “Negotiate” items, any “Escalate” items, or anything unclear, that’s where deals typically go wrong. And once you sign, most of these issues are no longer negotiable. That’s where we step in.

At ProcuraLogic, we help you:

- Break down complex contracts
- Identify risks before you sign
- Strengthen your negotiation position

■■ **Get a professional contract review before you sign.** Because after you sign, your leverage is gone. Upload your contract at procura-logic.com. Turnaround time depends on contract complexity.

Most of these issues are fixable, but only before you sign.

The difference between a good deal and a bad one is often just one clause.

Disclaimer

This document is provided for informational and educational purposes only. It does not constitute legal, procurement, or professional advice and does not create an attorney-client relationship. Every contract is unique; always consult a qualified professional before signing, renewing, or terminating an agreement.